

Mergers & takeovers

3.3.2.2 Business growth · Mr. Akram — Akademy

Inorganic (external) growth happens when one business joins another through a merger or takeover, achieved through integration. Faster than organic growth, but costlier and riskier.

Mergers vs takeovers

- **Merger** — two firms agree to join into one new business. Examples: BA + Iberia → IAG (2010); Glaxo Wellcome + SmithKline Beecham → GSK (2000); Dixons + Carphone Warehouse → Dixons Carphone (2014); Heinz + Kraft → Kraft Heinz (2015).
- **Takeover (acquisition)** — one firm buys a controlling stake in another. Disney grew by acquisition: Pixar (2006), Marvel (2009), Lucasfilm (2012), 21st Century Fox (2019) — ~\$114bn across 12 deals.

Hostile takeovers

A **hostile takeover** is carried out despite objections from the target's board. Kraft–Cadbury (2009–10): a rejected \$16.3bn bid was raised to ~\$19.6bn and completed despite the board's and UK government's objections. Others: AOL–Time Warner, Sanofi–Aventis–Genzyme.

Reasons, financial risks & rewards

Firms pursue deals for synergy (combined worth more than the parts), faster growth and market share, cost savings/economies of scale, and quick entry to new markets.

- **Rewards:** rapid growth, higher market share, synergy and cost savings, reduced competition, new revenue streams.
- **Risks:** high purchase price that takes years to recoup, culture clashes and integration problems, diseconomies of scale, overpaying, promised synergies failing to appear.

Apply it

- AG Barr–Funkin (2015): assess the likely effects of taking over the cocktail-mixer business (12).
- LVMH–Tiffany (2021): assess the financial risks and rewards of the \$15.8bn takeover (12).

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